Not to be left behind in financial year 2021–22, the government proposed a fiscal deficit of Rs 15.07 lakh crore, 230 per cent of the fiscal deficit of 2018–19.

The fiscal deficits of 2020–21 and 2021–22 are partly explained by the rolling back of massive off-budget borrowings resorted to in the previous four years. The sharp practices of managing fiscal deficits do show up at some point in time.

Share in Central Taxes is Dominant Source of Resource Transfers to States

Before the institutionalization of GST in 2016, the Constitution of India had a neat arrangement of taxation powers being divided between the Centre and the states. While the Centre had full authority to levy, collect and administer income taxes, both personal and corporate (barring income tax on agriculture incomes), and levy production taxes (excise duties, later called value-added tax, or VAT) on all commodities (except alcoholic and medicinal preparations), the states had the authority to levy, collect and administer taxes on sale of goods, excise duties on alcohol and medicinal preparations, property tax and transportation taxes.

For financial year 2018–19, the gross tax revenues of the Central government were Rs 20.80 lakh crore, comprising Rs 6.64 lakh crore of corporate income tax (CIT), Rs 4.73 lakh crore of personal income tax (PIT), Rs 1.18 lakh crore of customs duty, Rs 2.31 lakh crore of union excise duties, Rs 5.82 lakh crore of central GST and other small revenues. The share of central taxes transferred to the states amounted to Rs 7.61 lakh crore with the Central government retaining Rs 13.17 lakh crore. The states got 36.59 per cent of the gross tax collection of central taxes as against a broadly stipulated share of 42 per cent by the Finance Commission.

According to the government's *Budget at a Glance*, which provides details of all the transfers to the state governments, total transfers to the